



TOWNSHIP OF NIPISSING

RESOLUTION

DATE: November 12, 2024

NUMBER: R2024-

Moved by

Seconded by

WHEREAS Council adopted the Reserve and Reserve Fund Policy on September 3, 2024 with Resolution R2024-174;

AND WHEREAS the Reserve and Reserve Funds Policy has a purpose of establishing the framework and outlining requirements for establishing reserve funds, authorizations required for use of reserve funds and the annual reserve contribution requirements;

NOW THEREFORE "Schedule A" is hereby added to the Reserve and Reserve Funds Policy providing specific accounts that shall be reviewed upon the closing of a budget year and any surplus remaining shall be transferred to a reserve account for specific uses, as indicated;

AND THAT the Schedule A will be reviewed by Council annually with review of the Policy, during the regular Budget schedule.

For Against

PIPER
FOOTE
KIRKEY
SCOTT
YEMM

Carried

Mayor: Tom Piper



Reserve and Reserve Fund Policy

The Corporation of the Township of Nipissing

Purpose

The purpose of the Reserve and Reserve Fund Policy is to establish the framework and outline requirements for establishing reserve funds, authorizations required for use of reserve funds and the annual reserve contribution requirements.

A reserve policy is a critical component of a municipal long-term financial plan. There are a number of legislated Obligatory Reserve Funds governed by various legislations. Section 417 of the *Municipal Act, 2001* governs Discretionary Reserve Funds.

Goals and Objectives

The goals and objectives of the Reserve and Reserve Fund Policy include,

1. To reduce the risks to the taxpayer of significant budget impacts arising from uncontrollable events and activities;
2. To provide a source of one-time or short-term financing without permanently impacting the tax rates. For example, capital projects or major capital equipment requirements, which may not be included in approved budgets and may not be reasonably funded by delaying a lower priority capital project;
3. To provide a source of funding for a one-time operating expenditure, including small capital, not in approved budget allocations;
4. To ensure adequate cash flows and liquidity; and
5. To maintain a level of reserves that would be comparable to other Ontario municipalities and as defined in the following performance targets.

Performance Targets

Reserve policies are intended to provide long-term perspective to financial planning. The performance targets identified within this policy are to achieve long-term financial stability as well as support to the attainment of the Municipality's broader strategic objectives.

Adopted September 3, 2024
Resolution R2024-174

General Targets

Discretionary Capital Reserve Funds: Are dedicated capital reserves with a long-term target level of a least 30% of total capital budgeted expenditures. This is achieved by the use of "rental" time of machinery for all operational hours logged. All maintenance of machinery is deducted from the rental accumulation, providing an end of year amount for transfer to reserves for use to purchase future machinery.

Discretionary Operating Reserve Funds: Are dedicated operating reserves with a long-term target level of a least 10-15% of total operating budget or estimated through the budget process for future purchase of operating equipment or expenditures.

Tax Rate Stabilization Reserve Funds: Fund target level should be maintained at a level between 5% and 10% of the total municipal tax levy.

Operating Budget Contingency Fund: Identified for unbudgeted operating expenditures should total 1% of the approved operating budget.

Implementation

1. The implementation of this policy shall be considered a long-term goal of the Municipality.
2. The Treasurer shall provide an annual report to Council as to the Municipality's reserves and reserve funds.
3. Council must approve any new discretionary reserve fund by resolution. Alternatively, a new reserve fund may be established with the approval of the Operating Budget by specific reference within the budget detail.
4. Transfers to or from a reserve or reserve fund must be approved by Council. Approval may be granted by specific resolution, by policy approval by Council or by specifically approved budget allocations.

Definitions

Reserve

A "reserve" is a discretionary appropriation from net revenue, after provision has been made for all known expenditures. It has no reference to any specific asset and does not require the physical segregation of money or assets as in the case of a reserve fund. Investment income earned on municipal assets is not allocated to reserves.

Adopted September 3, 2024
Resolution R2024-174

Reserve Fund

A reserve fund that is funded from the revenue fund is normally established in the estimates by-law with a complementary by-law or resolution outlining its operational elements. A reserve fund that is funded from other sources is normally established in a specific by-law or resolution that also outlines its operational elements.

A reserve fund differs from a reserve in that reserve fund assets are segregated and restricted to meet the purpose of the reserve fund. Investment income earned on the segregated reserve fund assets is added to the balance of the reserve fund and is not available for general municipal purposes. There are two types of reserve funds, obligatory reserve funds and discretionary reserve funds.

Obligatory Reserve Fund

"Obligatory Reserve Fund" is created whenever a statute requires revenue received for special purposes to be segregated from the general revenues of the municipality. Obligatory Reserve Funds are to be used solely for the purpose prescribed for them by statute.

Discretionary Reserve Fund

"Discretionary Reserve Fund" is created under Section 417 of the *Municipal Act*. Whenever a Council wishes to designate revenues to finance a future expenditure for which it has the authority to spend money and to set aside a certain portion of any year's revenues so that the funds are available as required. In accordance with Section 417, municipalities should create new reserve funds (or additional allocations to reserve funds) through the estimates process, defining the purpose for which the reserve fund is being created.

Review of Policy

Council shall review this policy for relevance and update as required at least once per Council term.

Schedule "A" to the Reserve and Reserve Funds Policy

Accounts to be reviewed annually after close of budget for surplus transfer:

General Government

- 1-20-200-314-000 Asset Management Program to reserve for Asset Management.
- 1-20-200-588-000 Pay Equity to reserve for future pay equity claims.
- 1-20-210-578-314 Integrity Commissioner to reserve for future IC claims.

Fire Department

- 1-30-300-506-520 Automatic Aid Renewal and Expense to reserve for future AA calls.
- 1-30-300-506-570 Professional Development to reserve for future PD requirements.
- 1-30-300-568-244 FD OMERS to reserve for future WSIB First Responder claims.

Public Works

- 1-60-360-662-282 Street Lights to reserve for future street light repair projects.
- 1-60-602-504-602 PW Emergency Preparedness Materials to reserve for future use.